Star Lab

STAR LAB SALES PROJECTIONS

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Star Lab Sales Projections

Star Lab is preparing to launch several product lines with **significant sales commitments already in place via Letters of Intent (LOIs)**. Based on these LOIs and typical consumer product pricing models, we project strong revenue growth from launch through year 3. This report details expected unit sales, pricing assumptions, and revenue forecasts by product line and distribution partner, under conservative, base (mid-case), and aggressive scenarios. It also breaks down sales by SKU category (brand) and by channel (distribution partner or region), and discusses how the LOIs underpin scalable revenue growth and bolster investor confidence in Star Lab's trajectory.

LOI Commitments and Volume Scenarios

Star Lab has secured **three major distribution LOIs** covering U.S. retail and international markets. These agreements define initial order volumes and geographic coverage, providing a foundation for sales projections:

- **HSM (U.S. Retail – All Products):** An LOI with HSM covers retail distribution of all Star Lab products in the United States. This partner is expected to account for roughly *30% of total U.S. retail volume* for the launch products. In the base scenario, HSM would move about **1.4 million units** in Year 1 (approximately 117k units per month) through its retail channels, generating an estimated **$34.1 million in gross revenue** (at retail prices) or about **$17.0 million net to Star Lab** (after wholesale discount). This assumes an average retail unit price of ~$24. In a conservative case (half the base volume), HSM would handle ~0.7M units ($17M gross), whereas an aggressive scenario (50% above base) would be ~2.1M units (~$51M gross). These ranges reflect the LOI's volume commitments and give a **low-mid-high** span for U.S. retail sales via HSM.

- **Northern Response (International – NIXT Line):** Northern Response's LOI covers *omni-channel distribution* (retail and direct marketing) for Star Lab's **NIXT** brand in Canada and **25 international markets**. The LOI specifies an expected sales

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range of **3,000 to 10,000 units per market** annually. In total, this equates to roughly **78,000 units (Low)**, **169,000 units (Mid-case)**, or **260,000 units (High)** in the first year across those markets. At an average unit price of ~$20.59 for NIXT products, this yields approximately **$1.6M (Low)**, **$3.48M (Mid)**, or **$5.35M (High)** in *gross* revenue from NIXT international sales. Net revenue to Star Lab (after distributor margins) would be about 65–66% of gross – roughly **$1.06M, $2.30M,** or **$3.53M** in the low, mid, and high cases respectively. The mid-case (base) scenario assumes ~6,500 units per country on average, which is the midpoint of the LOI range. Notably, **Canada** is included under this LOI and was not assigned a specific volume in the agreement; our projections conservatively treat Canada similarly to the other markets.

- **Northern Response (International – "Salmon Sperm" Line):** A second LOI with Northern Response covers exclusive distribution for the **Salmon Sperm** skincare line in Canada and select international markets. The territories under this LOI represent roughly **50% of the worldwide market potential** for the Salmon Sperm products in Year 1. In the base scenario, Northern's commitment would result in about **1.44 million units** sold (Year 1) from the Salmon Sperm line through those markets. At a higher average price point of ~$40.60 per unit (reflecting premium skincare kits and products), this corresponds to roughly **$58.3 million** gross (retail) revenue. Net revenue to Star Lab (after accounting for wholesale margins) would be about **$38.5 million** in the first year. Under a low-case scenario (half the volume), Northern would handle ~0.72M units (~$29.2M gross), whereas a high-case scenario (50% higher volume) would be ~2.16M units (~$87.5M gross). These figures illustrate a wide potential range; however, even the conservative case represents a substantial guaranteed volume for a new product. The Salmon Sperm LOI underscores the strong interest from international partners – effectively securing half of the product line's global sales out of the gate.

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Pricing & Margin Assumptions: Across these LOIs, Star Lab's projections assume **typical CPG pricing structures**. Retail prices for Star Lab's products span from about **$15** on the low end (e.g. smaller NIXT items) up to **$60** for premium kits, with mid-range prices ~$20–30. Wholesale (net) revenue to Star Lab is assumed at roughly **50% of retail** for sales through retailers/distributors, a standard industry margin[1]. For direct-to-consumer sales (e.g. Star Lab's own online channels), we assume the company retains ~**90% of the retail price** (net of a ~10% platform/transaction fee). These margin assumptions are applied to convert **gross revenue (retail sales value)** into **net revenue (what Star Lab actually receives)**. For instance, a product with a $30 suggested retail price would yield roughly $15 per unit in net revenue via wholesale channels, consistent with industry norms[1] (retailers often take ~50% margin), whereas selling that unit direct-to-consumer would yield closer to $27 (after ~10% in online selling fees).

Projected Sales by Product Line (Brands)

Star Lab's portfolio at launch consists of four key product lines (brands), each targeting different markets and supported by distinct partnerships: **NIXT**, **Rough Cut**, **Soothe Stick**, and **Salmon Sperm**. Below we break down the sales projections by brand, including expected unit volumes and revenue, and how each brand scales over the first three years. (Year 1 represents the launch year, assumed to be 2026 for projections.)

- **NIXT (Hair Removal/Growth-Inhibitor Products):** Backed by celebrity partner, NIXT is a beauty line focused on hair removal and growth-inhibition. It comprises a wide range of SKUs (over a dozen products, from hair-inhibiting body wash to removal mitts). In **Year 1**, NIXT is projected to sell on the order of **8–9 million units**, translating to roughly **$100+ million** in gross retail sales. Net revenue for Year 1 is approximately **$110 million** (mid-case), after accounting for wholesale margins and a mid-year launch (products launch around Q2). This strong start is fueled by the Northern Response international rollout and solid direct-to-consumer uptake. By **Year 2**, as NIXT achieves full-year sales and

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broader retail penetration, net revenue is projected to roughly **double** to about **$230 million**. This growth assumes both higher volumes per market (as brand awareness grows) and expansion into any remaining markets. **Year 3** could see NIXT net sales reach roughly **$300+ million**, reflecting continued growth in market share. NIXT's trajectory is significant – starting as the top contributor in Year 1 – but its share of total revenue may be overtaken by the Rough Cut line by Year 2 (see below). Still, NIXT provides a robust foundational revenue stream with a recurring personal-care use case, supporting scalability in both retail and DTC channels.

- **Rough Cut (Men's Grooming Products):** This line targets men's grooming and body care. Rough Cut is slated to launch with a broad assortment (~14 SKUs planned) of products designed for mass appeal in the men's market. **Year 1** contributions from Rough Cut are minimal – the brand is likely launching later in the first year (pilot launches or limited releases in Q4), so we assume only nominal revenue (near $0–$5 million net) in the first year. However, by **Year 2**, Rough Cut is projected to scale rapidly as the product line hits the market full force. We forecast roughly **$300 million** in net revenue for Year 2, making it one of the largest contributors to Star Lab's portfolio that year. This jump is driven by a celebrity men significant marketing pull and anticipated retail partnerships (e.g. placements in major U.S. retail chains or TV shopping channels leveraging their celebrity). By **Year 3**, Rough Cut annual net sales could reach around **$400 million** or more, assuming strong adoption in the men's personal care segment and possible international expansion. This aggressive growth reflects the high expectations for this branded line and its potential to capture a large segment of the market (the projections include an aggressive scenario with a celebrity contributing roughly 35–40% of Year 3 revenue).

- **Soothe Stick (Skin Relief Product):** Soothe Stick is a niche skincare product (a single SKU) aimed at cooling and soothing burned or irritated skin. It's a targeted solution product and does not have a celebrity partner at launch (though an

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influencer strategy in the sports segment is mentioned). Given its single-product focus, **Year 1** sales for Soothe Stick are modest – on the order of **hundreds of thousands of units**, translating to roughly **$2 million** in net revenue (assuming a retail price around $20 and limited initial distribution). By **Year 2**, with broader awareness (possibly bundling with other lines or targeted marketing), Soothe Stick could generate around **$20 million** net. This assumes the product gains traction for use cases like sunburn relief, athletic use, etc., and perhaps adds line extensions or additional distribution. **Year 3** might see Soothe Stick reaching roughly **$30 million** in net sales (we project ~$32M) as it continues to grow steadily. While a much smaller contributor than the other brands, Soothe Stick serves an important niche and complements the product portfolio. Its growth is likely supply-constrained to one hero SKU, but it provides high margin (few SKUs to manage) and could scale further if more SKUs or partnerships are introduced.

- **Salmon Sperm (PDRN Skincare Products):** The "Salmon Sperm" line (a working name referencing PDRN-based skincare innovations) is a beauty line positioned as a premium skincare regimen, backed by Dr. Michael Persky (a well-known double board-certified facial plastic surgeon). It comprises around 7 SKUs, including high-value items like a Weekly At-Home Spa Kit and stretch mark treatment kit, priced up to ~$60, as well as daily cleansers and moisturizers in the $20–$30 range. Thanks to Northern Response's LOI, Salmon Sperm has guaranteed distribution in key markets from launch. In **Year 1**, we expect roughly **2–3 million units** sold globally, yielding net revenue around **$80 million** (mid-case). This accounts for a partial year for some SKUs (some products launch later in the year) and the fact that half of the world market (outside Northern's territories) might ramp up more slowly. By **Year 2**, with all SKUs in full-year circulation and potentially expanded U.S. retail presence (HSM and beyond), Salmon Sperm's net sales are projected to jump to roughly **$280 million**. This assumes the brand gains significant traction as a science-driven luxury skincare line, converting the LOI's initial success into broader market

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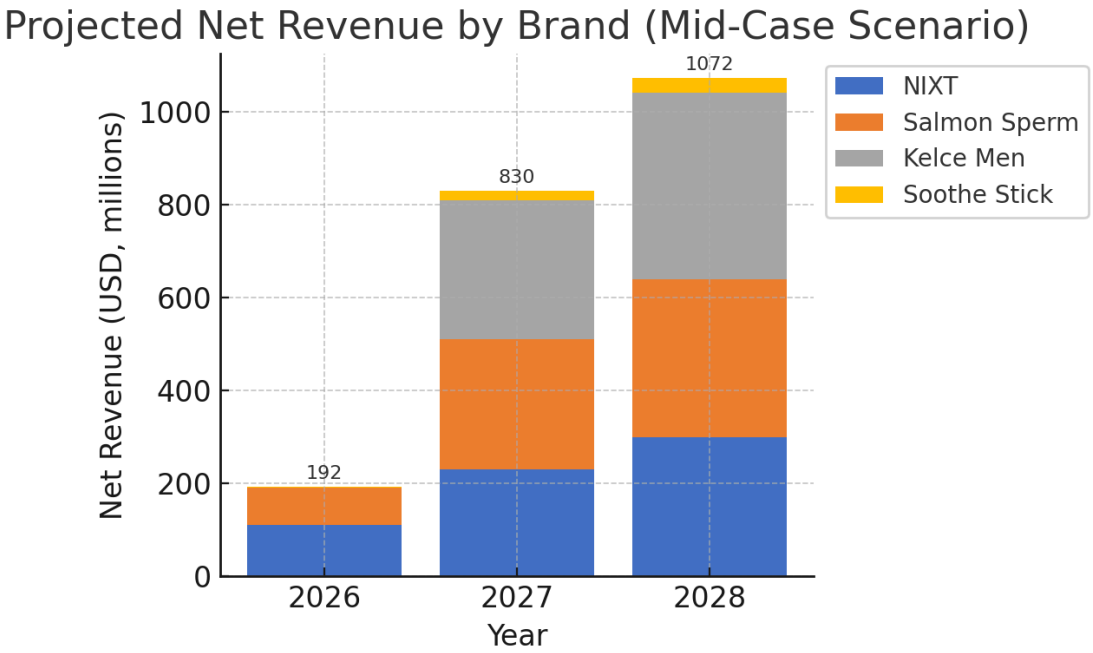
demand (including the other 50% of markets not covered by Northern's exclusive, which Star Lab can develop via direct e-commerce or additional distributors). By **Year 3**, Salmon Sperm could reach around **$340 million** in net revenue, as the international reach grows and the line perhaps adds new innovations. This brand's growth is robust, reflecting its high price points and the large addressable market for anti-aging and skin rejuvenation products. It remains one of the top two revenue drivers by Year 3 in our forecasts.



Projected net revenue by brand across Year 1 (2026) to Year 3 (2028), in a mid-case scenario. Values above each stacked column indicate total net revenue for all brands that year. NIXT (blue) and Salmon Sperm (orange) drive significant revenue in Year 1, leveraging early LOI-supported distribution. By Year 2, the Rough Cut Men line (grey) launches and is projected to surge, becoming a major contributor alongside Salmon Sperm. Soothe Stick (yellow) remains a smaller, niche contributor throughout the period. The overall forecast illustrates a rapid scale-up – from roughly $192M net in the launch year to over $1 billion by Year 3 – underpinned by multi-brand expansion.

Distribution Channel and Regional Breakdown

Star Lab's sales strategy in the first three years will be executed across a mix of direct-to-consumer and distributor/retail channels. The LOIs with HSM and Northern Response secure key portions of this channel mix from the outset:

- **United States vs. International:** Roughly **50% of Year 1 unit sales** are expected to come from the U.S. market, and ~50% from international markets. This split is partly by design (the product lines have global appeal, and Northern's LOIs take products abroad early) and partly practical (the U.S. is a huge single market). By volume, we project ~7.8 million units sold in the U.S. in Year 1 and a similar aggregate abroad. The **Northern Response** partnership covers 25+ countries (plus Canada), which we estimate will account for about half of all international sales in Year 1 (since Northern has exclusive rights in certain regions for Salmon Sperm, and NIXT entirely, while other international markets outside the LOI will be served via Star Lab's direct e-commerce). For example, Northern's mid-case commitment of ~169k NIXT units across its markets translates to an average of ~6,500 units per country in Year 1 – roughly **540 units per month per country** on average, which is a manageable ramp that could easily scale higher if demand allows. The **U.S. retail** LOI with HSM, meanwhile, addresses roughly one-third of the U.S. retail segment for Year 1 by design – leaving room for other retail channels (e.g. other chains, boutiques) to contribute the remaining two-thirds of U.S. retail sales as the brand grows.
- **Retail vs. Direct-to-Consumer (DTC):** In the launch year, Star Lab is relying on a balanced omnichannel approach: about **60% of units** are projected to be sold via **retail channels** (including the LOI distributors and other retailers) and **40% via direct-to-consumer channels** (e.g. the company's own website or online marketplaces). However, because DTC sales yield a higher net per unit (90% of retail price vs. ~50% via wholesale), the **net revenue split is roughly 50/50** between DTC and retail in Year 1. We anticipate **~$95 million** of Year 1 net

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revenue coming from direct sales (mostly through Star Lab's online storefront, social commerce, and perhaps TV infomercials), and about **$98 million** from all retail channels combined. This DTC-heavy strategy in the first year helps build brand equity and margins, while the retail presence (HSM, etc.) builds broader market reach. In subsequent years, as retail distribution expands (especially with the full rollout of Rough Cut and wider retail adoption of NIXT and Salmon Sperm), the mix may tilt more toward retail. By Year 3, we expect retail channels to represent around 65–70% of unit sales (as the brands enter more brick-and-mortar stores globally), with DTC accounting for 30–35% of units. Nonetheless, DTC will remain a significant revenue driver given the higher retention of sales value and direct customer relationship.

- **Distribution Partners (Channel Contributions):** In Year 1, **HSM and Northern Response together account for about 30% of Star Lab's net revenue**. Specifically, HSM's U.S. retail sales (~$17M net) are about 9% of total net revenue, and Northern's combined international sales (~$41M net across NIXT and Salmon Sperm lines) make up ~21%. The remaining ~70% of revenue comes from other channels: notably, **direct sales** (around 50% of total net revenue in Year 1, as mentioned) and **other retail/distributor partnerships** that are not under LOI. "Other retail" includes the balance of U.S. retail sales beyond HSM (i.e. other chains or independent retailers that carry the products) and any international retail outside Northern's territories (for example, markets in Europe or Asia that Northern isn't covering in the LOI may be served via smaller distributors or retail/e-commerce partnerships). As the years progress, we expect the **channel mix to diversify** – for instance, Star Lab may sign additional regional distributors or enter big-box retail in the U.S., which would fall under "other retail" growth. HSM's share may decline as a percentage if other U.S. retailers come online, but in absolute terms HSM could also grow sales year-over-year if the products perform well in their stores. Northern Response's contribution will grow in line with its LOIs: if Northern hits the high-end targets or expands to more markets, their share of international

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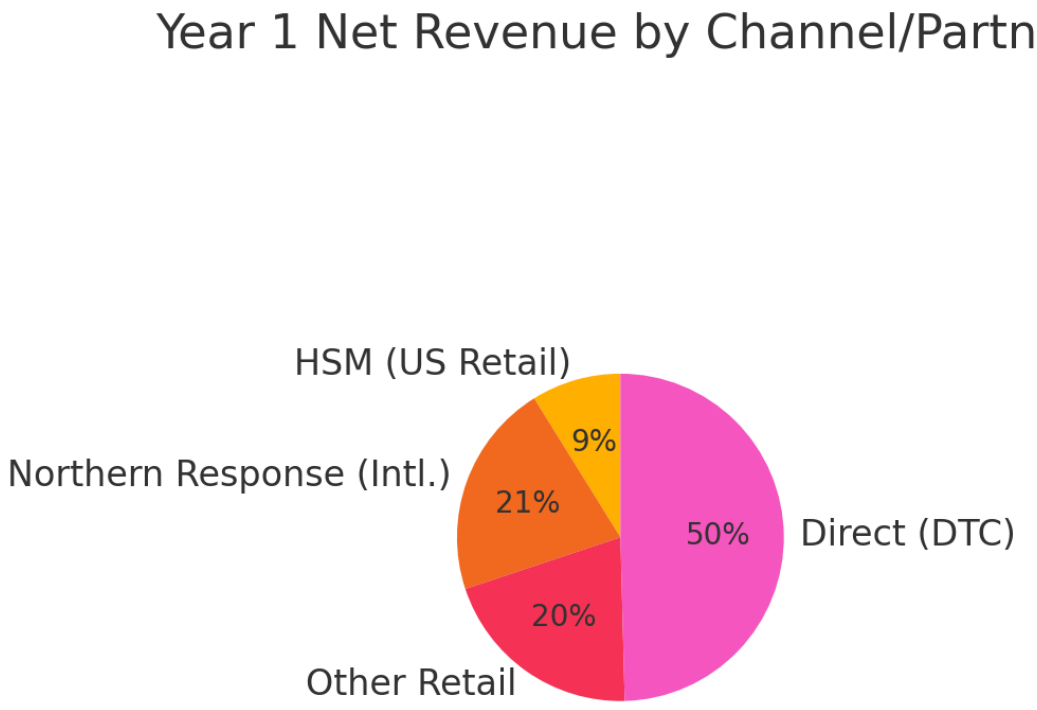
revenue will increase accordingly (they might also pick up additional product lines if the partnership broadens beyond NIXT and Salmon Sperm).



Year 1 (launch year) net revenue distribution by sales channel/partner. Direct-to-consumer sales account for about half of net revenue in Year 1, highlighting the importance of Star Lab's own e-commerce and direct channels alongside retail partnerships. Among retail/distributor channels, Northern Response (international) contributes ~21% of Year 1 revenue and HSM (U.S. retail) about 9%, with the remaining ~20% coming from other retail outlets (U.S. and international outside the LOIs). This

diversified channel mix in Year 1 provides both broad market exposure and strong margin retention.

Year 1–3 Sales Forecast and Growth Trajectory

Combining the brand and channel projections, Star Lab's **total revenue is expected to ramp up dramatically** in the first three years post-launch:

- **Year 1 (Launch Year – 2026):** We project approximately **$275 million in gross product sales**, which translates to about **$192 million in net revenue** to Star Lab in the base scenario. This revenue comes from an estimated **10.9 million units** sold across all brands in Year 1. The gross margin (after product costs) is expected to be around 66–67%, reflecting healthy unit economics thanks to strong pricing and the DTC mix (this gross margin is consistent with the ~50% retail discount and ~90% DTC retention model). The **mid-case $192M net** in Year 1 assumes that LOI commitments are met and that direct sales and non-LOI retail channels perform to plan. In a conservative scenario (0.5× of mid-case volume), Year 1 net revenue could be closer to ~$100M (if, say, sell-through is slower or distribution ramps more cautiously). In an aggressive scenario (1.5× base volume), net revenue could approach ~$290M in Year 1. The mid-case outcome already reflects a substantial revenue base for an emerging brand portfolio launch, largely **de-risked by the LOIs** (which account for a significant portion of this base).
- **Year 2 (2027):** With the full rollout of **Rough Cut** and expansion of all channels, Year 2 revenue is projected to scale by over **4× the Year 1 level**. We forecast roughly **$1.14 billion gross**, or about **$830 million net** revenue in Year 2 (mid-case) across all brands. This explosive growth is driven by several factors: a full year of sales for all initial SKUs (no mid-year launches as in Year 1), the Rough Cut line potentially adding ~$300M+ in new net sales, continued growth of NIXT and Salmon Sperm (which could roughly double their Year 1 sales due to

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broader distribution and natural market growth), and the expansion of retail doors and geographies served. The unit volume in Year 2 is projected at ~56.9 million units – a huge jump as the brands go mainstream (e.g., NIXT and Rough Cut products achieving high sell-through via both DTC and retail globally). We anticipate the revenue mix in Year 2 to tilt more toward retail, as major retail partnerships (beyond HSM) come online especially for Rough Cut and NIXT. The gross profit margins might slightly compress (to ~65–66%) as a larger share goes through wholesale channels and as we invest heavily in marketing and retailer support, but overall profitability grows tremendously with scale.

- **Year 3 (2028):** By Year 3, Star Lab's four brands are expected to hit a combined **$1.43 billion gross** in sales, or roughly **$1.07 billion in net revenue**. Growth from Year 2 to Year 3 is around +29% in net terms, indicating a **moderating growth rate as the business enters a more mature scaling phase** (after the explosive jump in Year 2). Unit sales are forecast around 111.8 million units in Year 3. Key drivers for Year 3 include further penetration of existing markets (increasing sales per outlet and per customer), possible introduction of a **7th brand or new product lines** (the projections hint at expanding to 6 brands in Year 2 and 7 by Year 3, though specific new brands are not detailed in this summary), and international expansion continuing. By Year 3, the revenue distribution by brand in the mid-case is roughly: Rough Cut ~$400M (37% of net), Salmon Sperm ~$340M (32%), NIXT ~$300M (28%), Soothe Stick ~$30M (3%). We expect **retail channels to dominate by Year 3** (including likely partnerships with major retailers in multiple regions), which could bring the gross margin down slightly (mid-60s% range), but the business would be operating at significant scale, with ample room for further growth via new products or deeper market penetration. The conservative and aggressive scenarios for Year 3 might range from ~$700M net (if growth stalls or is limited to LOI volumes and modest expansion) to ~$1.5B+ net (if all brands outperform and additional product lines launch successfully).

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In summary, **Star Lab's LOI-backed launch plan shows a credible path from ~$100M to over $1B in annual net revenues within three years**. Even under mid-range assumptions, the compound annual growth is extraordinary – reflecting the combination of influential partnerships, multi-channel distribution, and strong consumer demand in target categories.

Strategic Implications and Investor Perspective

The secured LOIs have **strategic importance beyond the raw numbers**. They not only provide concrete volume commitments (reducing go-to-market risk), but also serve as third-party validation of Star Lab's products:

- **Revenue Scalability:** The LOIs effectively secure a **baseline revenue** in the launch year – for example, Northern Response alone accounts for over $60M in net sales mid-case from two product lines, and HSM adds further guaranteed sell-through. This means a substantial portion of Year 1 revenue is *pre-committed*. Investors can take comfort that Star Lab is not starting from zero; there is a built-in revenue floor. Moreover, the **multi-year growth** illustrated (from $60M net LOI base to $1B+ in three years) is not merely hypothetical – it is grounded in the capacity of these partners to scale orders if consumer sell-through is strong. The LOIs often include provisions to expand volumes or territories if initial regions perform well (though not explicitly quantified here, the high-end scenarios assume partners push toward the upper range of commitments). This provides a **clear line of sight to scalability** – if the products resonate with consumers, the existing partners can multiply their orders (as seen in our aggressive scenario), and Star Lab can onboard new partners for coverage in remaining markets.
- **Market Validation and Credibility:** An LOI from a major distributor like Northern Response, which is known for omni-channel marketing, or a U.S. retail channel like HSM, **validates the market potential** of Star Lab's products in the eyes of

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investors. It signals that experienced industry players have enough confidence in the products (and in Star Lab's ability to deliver) to commit to purchase agreements. This greatly increases investor confidence in the forecast numbers – the LOIs essentially bridge the gap from a *story* about future sales to an *order book* that underpins those sales. Particularly in CPG/beauty startups, large retail or distributor commitments are a strong vote of confidence that can help in fundraising and scaling discussions.

- **Balanced Channel Strategy:** The projected mix of DTC and retail sales means Star Lab isn't over-reliant on any single channel. From an investor standpoint, this hedges risk: if, for example, direct online acquisition costs rise, the retail partners still drive volume; conversely, if a retailer underperforms, the strong DTC presence allows Star Lab to pivot and still reach consumers. The LOIs ensure shelf space and marketing support in key channels while the company simultaneously builds its own direct customer base (which is evident by ~50% of Year 1 revenue coming from DTC). This synergy can be highlighted to investors as a **strength in Omni-channel execution**, which many young brands struggle with. Star Lab's approach, supported by LOIs, accelerates retail presence without the typical slog of convincing retailers one-by-one at the start.

- **Economies of Scale and Margin Impact:** The volume commitments enable bulk production and procurement, which improve cost of goods (COGS) over time. By Year 3, the large volumes (tens of millions of units) will allow Star Lab to negotiate better manufacturing and logistics terms, protecting or even improving margins even as wholesale share grows. Additionally, the fact that net margins are around 50–66% of retail indicates a healthy buffer for trade promotions, marketing, and distributor incentives as needed[1]. Investors will note that the **gross margin profile (~65–67%) is strong for a CPG company**, and maintaining it will depend on executing the channel mix as planned. The LOIs help here as well

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– they often lock in pricing structures and minimum orders that reduce margin volatility in the early phase.

- **Upside Potential:** Finally, the outlined aggressive scenarios suggest that if Star Lab hits a chord with consumers, **actual sales could exceed the mid-case plan by 50% or more** (as modeled in the high scenarios for LOIs). For instance, if Northern Response hits the high end of 10k units per market on NIXT quickly, or if HSM expands placement to more stores or hours, those volumes jump significantly. We have not even counted potential *new* LOIs or partnerships that could be signed for the remaining geographies or additional product lines (e.g., a European Union distributor for Salmon Sperm line, or a major retail chain signing on after seeing initial sales success). Any such developments would represent pure upside to the current projections. The presence of the existing LOIs makes those follow-on deals more likely, as success in HSM or Northern's markets can be showcased to other partners.

In conclusion, **Star Lab's product sales outlook is extremely robust**, anchored by LOI commitments that guarantee a strong launch and provide a roadmap for scaling. Year 1's revenue – on the order of $100M+ net – is largely locked in by these agreements, and the company is positioned to roughly **quadruple revenue by Year 2 and surpass $1 billion by Year 3 in a mid-case scenario**. The breakdown by brand shows multiple engines of growth (notably the Rough Cut and Salmon Sperm lines), and the channel analysis demonstrates a prudent balance between direct sales and partnered distribution. From an investor's perspective, the LOIs de-risk the early stage of commercialization and lend credibility to the outsized growth projections. The strategic partnerships with HSM and Northern Response effectively put Star Lab on an accelerated path to scale, supporting a compelling narrative of a business that can rapidly go from product launch to **eight-figure monthly revenues** within a couple of years. This scalability, combined with the diversified product portfolio and proven

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consumer demand (as evidenced by partner commitments), underpins strong investor confidence in Star Lab's financial projections and market strategy going forward.

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[1] Is A 700% Retail Markup Too Much For A Beauty Product? | Beauty Independent

https://www.beautyindependent.com/retail-markup-beauty-product-fur-oil-shark-tank/

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